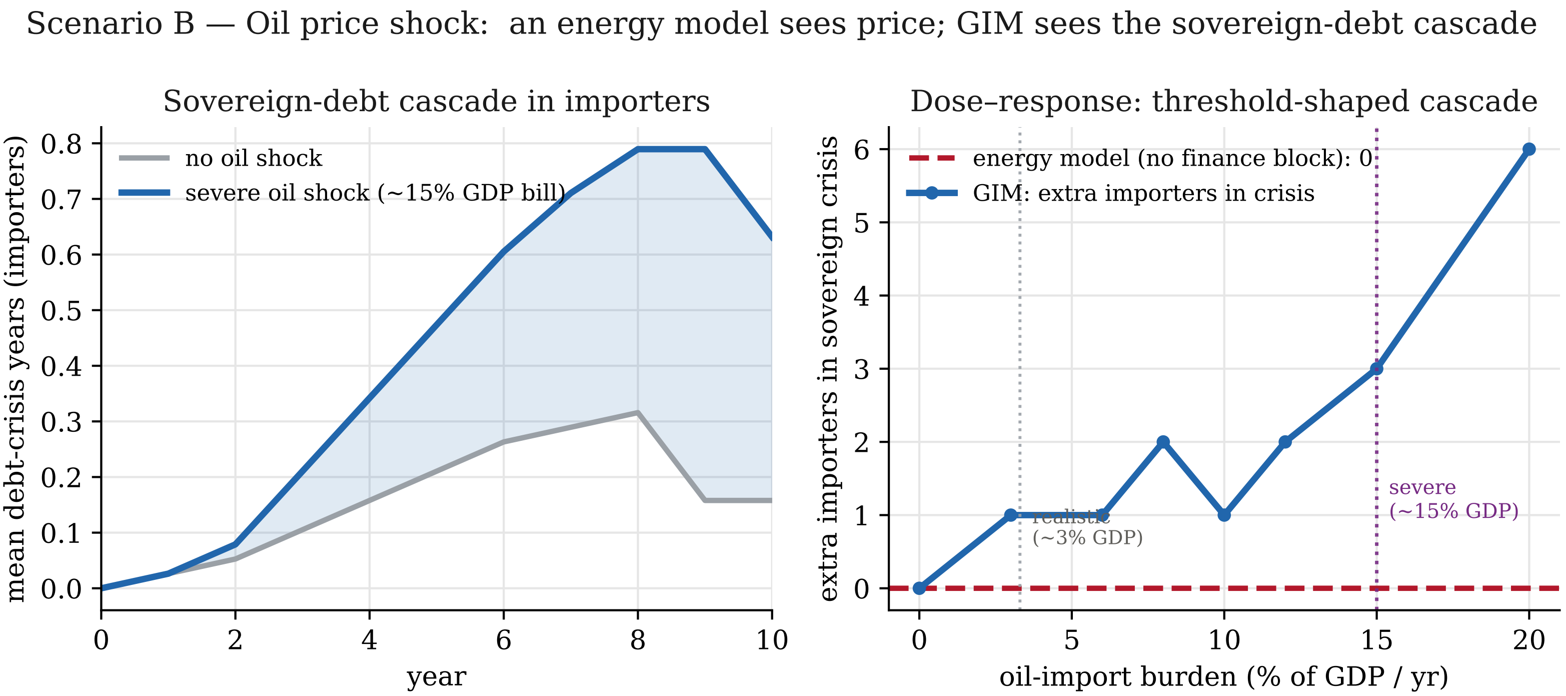
Scenario B — Oil price shock: an energy model sees price; GIM sees the sovereign-debt cascade
Sovereign-debt cascade in importers
no oil shock
severe oil shock (~15% GDP bill)
mean debt-crisis years (importers)
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
0
2
4
6
8
10
year
Dose–response: threshold-shaped cascade
energy model (no finance block): 0
GIM: extra importers in crisis
extra importers in sovereign crisis
0
1
2
3
4
5
6
realistic
(~3% GDP)
severe
(~15% GDP)
0
5
10
15
20
oil-import burden (% of GDP / yr)